Micron Technology, Inc.

MU NASDAQ

Hold **$811.29** ▼ 9.88%

12M Price Target **$950.00**

52-Week Range $103.38 – $1255.00

Market Cap $916.27B

MU: AI Chip Selloff Hits Memory Hard, CXMT Threat Looms

WHAT HAPPENED

- MU cratered nearly 10% today on massive volume — this isn't a company-specific problem, it's part of a broader AI chip selloff hitting the whole sector ahead of pivotal earnings (Nvidia, hyperscalers). When AI names get sold, memory chips get sold harder because they're seen as the most cyclical piece of the trade.
- The bigger story overnight: CXMT — China's homegrown memory maker — just had a monster IPO. That's a shot across the bow for Micron's long-term pricing power in DRAM. The market is now asking "wait, is the memory oligopoly (Micron, Samsung, SK Hynix) actually safe?"

WHY IT MATTERS

This selloff is doing two things at once, and you need to separate them. Short-term, it's just AI froth coming out — MU ran from $103 to $1,255 in a year, so a 35% pullback from highs is healthy profit-taking, not a thesis break. But the CXMT IPO is the real signal to watch: China is aggressively subsidizing its memory industry to break dependence on US/Korean suppliers, and if they scale, the oligopoly pricing that made MU so profitable in this cycle gets threatened by 2027-2028. Here's the counterpoint though — the Trump administration has been ratcheting up chip export controls, and the CHIPS Act money is already flowing to MU's Idaho and NY fabs, so Washington is essentially paying MU to out-invest China. The near-term setup is messy but the policy tailwind is real.

POLICY & POLITICAL WATCH

The big one to watch: the administration's ongoing Section 232 semiconductor tariff review — there's active discussion of putting tariffs on foreign-made memory chips, which would directly benefit MU as the only US-headquartered DRAM maker. Also on the table: expanded export controls on HBM (high-bandwidth memory used in AI chips) to China, which cuts both ways — good for pricing discipline, bad if China retaliates against MU's China revenue (~10-15% of sales). Congress is also debating CHIPS Act 2.0 with additional advanced packaging incentives; if that passes, MU's $50B+ US expansion gets more federal cost-sharing.

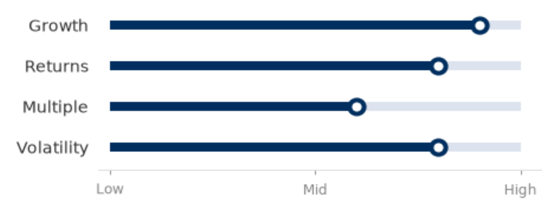
IS IT EXPENSIVE?

At ~$811, MU trades around 19x forward earnings — meaning you're paying $19 for every $1 of next year's expected profit. That's not cheap for a historically cyclical memory business, but it's actually reasonable if you believe HBM (the AI memory) has structurally changed the game and turned memory into a growth story. Compare to Nvidia at 35x+ and MU looks like the value play in AI infrastructure — but "value" is doing heavy lifting if the cycle rolls over.

Key Data

Price (USD)	**$811.29**
12M Price Target	**$950.00**
Upside / (Downside)	**+17.1%**
Market Cap	**$916.27B**
FY2026E Revenue	**$52,000M**
FY2027E Revenue	**$68,000M**
FY2026E EPS	**$42.50**
FY2027E EPS	**$58.00**
Fwd P/E	**19.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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MU — Micron Technology, Inc. | July 28, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$900.00**	$820.00	**$720.00**
6 Months	**$1100.00**	$950.00	**$750.00**
1 Year	**$1300.00**	$950.00	**$650.00**
2 Years	**$1600.00**	$1100.00	**$600.00**
5 Years	**$2200.00**	$1500.00	**$500.00**
10 Years	**$3500.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+3.9%), Healthcare (+2.6%), Utilities — classic defensive rotation. When you see staples leading, it means big money is de-risking, not chasing growth.

COOLING OFF: Semiconductors broadly getting hit, with memory taking the worst of it. AI trade is exhaling ahead of earnings.

ROTATION WATCH: This is textbook risk-off — money is moving from AI/tech into defensives. It's not a sector death, it's a positioning reset before Nvidia/hyperscaler prints tell us if the AI capex story is still intact.

RELATED PLAY: If you want AI exposure without the memory cycle risk, look at the equipment makers (AMAT, LRCX) — they benefit from MU's capex spending whether or not memory prices hold up.

WHO'S WINNING IN THIS SPACE?

- KO (Coca-Cola) and staples names: winning because money is fleeing AI risk into steady cash-flow businesses.
- LLY / UNH (Healthcare): benefiting from the defensive rotation plus continued earnings resilience.

MU CONTEXT: MU is lagging badly — down 10% while the market is only modestly weak. That tells us this isn't just macro; there's specific memory/AI-chip concern in the tape. When a stock leads on the way up AND leads on the way down, it means it's the highest-beta expression of the trade — which cuts both directions.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI memory story and the US policy tailwind, but I'm not pounding the table when the stock just fell 20% in a week and the Chinese competitor just went public.

POSITION SIZE: 2-4% of portfolio — this is a high-beta name, sizing matters more than being right on direction.

ENTRY POINTS: I'd wait for $750-800 area or a clear bottoming pattern; catching a falling knife in semis rarely works.

TIME HORIZON: 12-24 months — you need to see two more HBM contract cycles play out and get clarity on how fast CXMT actually scales.

WHEN TO BAIL: If MU loses a major HBM contract to Samsung, or if China exports of memory chips start showing up in global pricing data — that's the real signal the oligopoly is cracking.

HEDGING: Buy some protective puts around $750 if you're holding a full position, or pair the long with a short in a more expensive AI name like a hyperscaler that's priced for perfection. Simple version: don't oversize this, and keep some dry powder to average down if it hits $750.